

ANNEX 2 a.

I.

THE VICE-CHANCELLOR OF AUSTRIA TO THE MINISTER
FOR FOREIGN AFFAIRS OF THE GERMAN REICH.*[Translated by the Registry.]*

Vienna, March 19th, 1931.

Your Excellency,

As a result of our conversations early this month during your visit to Vienna, I have the honour to inform Your Excellency that the Austrian Government has welcomed the plan to assimilate the economic and tariff régimes of Austria and Germany and has unanimously approved the Protocol as annexed hereto, laying down the principles for the agreement to be concluded.

I have, etc.

(Signed) SCHÖBER.

II.

THE MINISTER FOR FOREIGN AFFAIRS OF THE GERMAN
REICH TO THE VICE-CHANCELLOR OF AUSTRIA.*[Translated by the Registry.]*

Berlin, March 19th, 1931.

Your Excellency,

With reference to our conversations early in March, while I was in Vienna, I have the honour to inform you that the Government of the Reich has welcomed the plan for assimilating the tariff and commercial régimes of Austria and Germany and has unanimously approved the Protocol laying down the principles of the treaty to be concluded, in the text attached hereto.

I have, etc.

(Signed) CURTIUS.

III.

AUSTRO-GERMAN PROTOCOL
OF MARCH 19th, 1931.[*Translation.*]

In pursuance of the conversation which took place in Vienna at the beginning of March, 1931, the German Government and the Austrian Government have agreed to enter forthwith into negotiations for a treaty to assimilate the tariff and economic policies of their respective countries on the basis and within the limits of the following principles.

I.

(1) While completely maintaining the independence of the two States and fully respecting the obligations undertaken by them towards other States, the treaty is intended to initiate a reorganization of European economic conditions by regional agreements.

(2) More especially both Parties will, in the treaty, unconditionally declare their willingness to enter into negotiations for a similar arrangement with any other country expressing such a desire.

II.

(1) Germany and Austria will agree on a tariff law and a customs tariff which shall be put into force in both customs areas concurrently with the treaty and for the period of its validity.

(2) During the validity of the treaty, amendments to the tariff law and the customs tariff may only be effected by agreement between the two Parties.

III.

(1) As long as the treaty remains in force, the exchange of goods between the two countries shall not be subject to any import or export duties.

(2) In the treaty the two Governments will come to an agreement as to whether internal customs duties will be necessary, and, if so, for what specified categories of goods and for what period.

IV.

In the treaty the two Governments will reach an agreement for a provisional arrangement regarding the turnover tax and the exchange of those goods for which, at the present time, monopolies or excise duties prevail in either of the two countries.

V.

(1) The Customs Administration of each of the two countries shall be independent of that of the other and shall remain under the exclusive control of its own Government. Furthermore, each country shall bear the expenses of its own Customs Administration.

(2) Both Governments, whilst fully respecting the above principle, will enact special measures of a technical character to provide for the uniform execution of the tariff law, the customs tariff and the other tariff regulations.

VI.

(1) In the German customs area the customs duties shall be levied by the German Customs authorities and in the Austrian customs area by the Austrian Customs authorities.

(2) After deducting the special expenses arising out of the application of the treaty, the amount of the duties received shall be apportioned between the two countries according to a quota.

(3) In the agreements to be reached regarding this point, care will be taken not to prejudice the liens on customs revenues existing in either country.

VII.

(1) No import, export or transit prohibitions shall exist as between Germany and Austria. Such exceptions as may prove to be requisite for reasons of public security, public health or matters of a similar nature shall be specified in the treaty as precisely as possible.

(2) In place of the Agreement on the Diseases of Animals concluded between Germany and Austria on July 12th, 1924, the two Governments will conclude and put into force as soon as possible, and in any case not later than one year after the entry into operation of the treaty, a fresh agreement regulating the traffic in animals and animal products between

Germany and Austria in accordance with the regulations which govern internal traffic in Germany and Austria, the same conditions being given.

VIII.

The rights appertaining to individual and juridical persons of the one Party in the territory of the other in respect of domicile, industry, taxation, etc., shall be regulated in the treaty on the basis of the relevant provisions of the Austro-German Commercial Treaty now in force. On the same basis regulations will also be agreed upon concerning railway and shipping traffic between the two Parties.

IX.

(1) Each of the two Governments, even after the entry into operation of the treaty, shall retain in principle the right to conclude commercial treaties with third States on their own behalf.

(2) In the relevant negotiations with third States, the German and the Austrian Governments will see that the interests of the other contracting Party are not violated in contravention of the tenor and purpose of the treaty to be concluded.

(3) So far as it seems opportune and possible with a view to effecting a simple, speedy and uniform settlement of the commercial relations with third States, the German Government and the Austrian Government will conduct joint negotiations for the conclusion of commercial treaties with third States. Even in this case, however, Germany and Austria will each on its own behalf, sign and ratify a separate commercial treaty and will only arrange for a simultaneous exchange of the ratifications with the third State in question.

X.

The two Governments will, at a suitable time, take the steps necessary to bring into accord with one another and with the tenor and purpose of the treaty, to be concluded, the existing commercial treaties concluded by Germany and Austria with third States so far as they contain tariff rates fixed by commercial treaties with other countries or so far as they would interfere with the execution of the existing import and export prohibitions and other regulations for the exchange of goods.

XI.

(1) To ensure a smooth working of the treaty, an Arbitral Committee composed of members of the two Parties on the lines of complete parity shall be provided for. This Committee will have to deal with the following matters:

- (a) settlement by arbitration of differences of opinion arising between the two Parties as to the interpretation and application of the treaty;
 - (b) to bring about a compromise in cases where the treaty provides for a special agreement between the two Parties or in which, according to the tenor of the treaty, the realization of the intentions of the one Party depends upon the consent of the other, provided that in such cases agreement cannot be reached between the two Parties.
- (2) A decision of the Arbitral Committee in cases (a) and (b) referred to above shall have binding effect on both Parties, a majority of votes being sufficient. The President of the Committee shall have a casting vote. Complete parity in choosing the President shall be provided for in the treaty.

(3) Should either of the Governments be of the opinion that a decision of the Arbitral Committee in any of the cases mentioned under 1 (b) infringes its vital economic interests, it shall be entitled to terminate the treaty at any time on giving six months' notice. Such notice of termination may also be given during the first period of three years mentioned under XII (2).

XII.

(1) The treaty to be concluded shall be ratified and shall enter into operation at the end of a period to be fixed in the treaty which extends from the date of the exchange of ratifications.

(2) The treaty may be denounced at any time upon one year's notice, but not so as to terminate it before the end of the third year after its entry into operation except in the case mentioned under XI (3).

(3) Notice may only be given in virtue of a law of the country denouncing the treaty.